TEACHER GUIDE

Pearson Edexcel International GCSE in Business (4BS1)

# Market segmentation

Section 4
**4.2 The market · 4.2.3 market segmentation**



A revision lesson. Pupils run a car dealership in firms of four and revise market segmentation on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

**45-minute setting**

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

### EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

### LESSON SETTINGS

| 30 min | 45 min | 60 min | 75 min |
|---|---|---|---|

# What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



## CEO

Staff · Sabotage from Round 2



## Finance

Capital & Loans · Investments



## Sales & Marketing

Marketing



## Operations

Seasonal stock

# Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

## 1 Market share as %

Round 1

Share of the town.

**Dealer's market share, as a %?**

| | |
|---|---|
| Dealer's sales, new | **77 cars** |
| Dealer's sales, used | **16 cars** |
| All sales in the town | **300 cars** |

**ANSWER**

**31%**

77 + 16 = 93; 93 ÷ 300 × 100 = 31%

**Why:** The dealer wins 31 of every 100 cars sold in the town.

## 2 Why share fell

Round 1

Your market share fell from 20% to 15%, but you sold more cars.

**Which two explain this?**

- **A** The market shrank
- **B** You sold fewer cars
- **C** The whole market grew faster
- **D** Rivals won more new buyers
- **E** Rivals' sales fell

**ANSWER**

**✓ The whole market grew faster**
**✓ Rivals won more new buyers**

**Why:** Share is your sales over the market: the market grew faster than you.

## 3 Rank market share

Round 2

Three dealers: their sales and their town's sales.

**Order by market share, highest first?**

- **A** 300 of 2,000 cars
- **B** 450 of 5,000 cars
- **C** 120 of 600 cars

**ANSWER**

**1. 120 of 600 cars**
**2. 300 of 2,000 cars**
**3. 450 of 5,000 cars**

**Why:** Shares 20%, 15%, 9%: the most cars sold is the smallest share.

# Topic tasks

## 4 Segment revenue

Round 2

Revenue in one segment.

**Dealer's revenue from this segment?**

| | |
|---|---|
| Town's car sales, a year | **£300,000** |
| Business buyers, % of sales | **25%** |
| Dealer's share of them | **10%** |

**ANSWER**

**£7,500**

25% × £300,000 = £75,000; × 10% = £7,500

**Why:** The segment is worth £75,000. The dealer takes 10% of it.

## 5 Niche or mass

Round 3

You are a small dealer. Six big dealers chase every buyer; no rival targets young drivers.

**Which should you choose, and why?**

**A** Sell to every buyer

**B** Focus on young drivers

**ANSWER**

**✓ Focus on young drivers**

**Why:** A small firm does best in a segment rivals ignore.

## 6 Market share change

Round 3

Two years compared.

**Dealer's share change, in % points? Minus allowed.**

| | |
|---|---|
| Dealer's sales, last year | **49 cars** |
| All sales, last year | **700 cars** |
| Dealer's sales, this year | **198 cars** |
| All sales, this year | **1100 cars** |

**ANSWER**

**11%**

49 ÷ 700 = 7%; 198 ÷ 1100 = 18%; 18 − 7 = 11 points

**Why:** The share went from 7% to 18%.

# Final questions

Each pupil answers 6 final questions on market segmentation. They come from these 19 questions.

Then each pupil writes one short answer: “Explain how a dealer could win customers from rivals.”

1 A dealer sells 24 of the 120 used vans sold in its regional market. What is its unit market share?
✔ **20%**

2 A fleet dealer supplies 30 vans and has a 15% unit market share. What is the total number of vans sold in that market?
✔ **200 vans**

3 After a recall a dealer’s sales fall from 24 to 18 cars in a 120-car local market. By how many percentage points does market share fall?
✔ **5 percentage points**

4 A dealer targets first-time drivers aged 17–24. Which segmentation basis is used?
✔ **Demographic segmentation by age**

5 A winter-tyre campaign is shown only to customers in colder northern areas. Which segmentation basis is this?
✔ **Geographic segmentation**

6 A dealership targets a premium service plan at customers in a high-income bracket. Which segmentation basis is used?
✔ **Income**

7 A small dealer specialises only in rare classic rally cars. Which market approach is this?
✔ **Niche marketing**

8 A national chain offers a standard low-cost vehicle check to a very broad audience. Which approach is this?
✔ **Mass marketing**

9 You have 36 sales in a 240-vehicle market. With the market unchanged, how many more sales reach a 20% unit market share?
✔ **12 vehicles**

10 Research shows families value boot space while city commuters value easy parking. What should Sales do?
✔ **Tailor the message to each group**

# Final questions

**11** A dealership sells 45 of the 300 used cars sold in its town during one month. What is its unit market share?

✔ **15%**

**12** Segmentation means splitting customers into groups with different wants, each given a suitable offer. A dealer offers families, taxi firms and delivery firms different ranges. What is it doing?

✔ **Segmenting: customers in groups, each with a different offer**

**13** Market share = business sales ÷ total market sales × 100. A town sells 250 used cars a month; one dealer sells 45. Using the formula, what is its share?

✔ **18%**

**14** Market size is the total sales of every business in the market. Three dealers, the only ones in town, sold £180,000, £145,000 and £95,000. What is the market size?

✔ **£420,000**

**15** A dealer groups its customers by the area where they live. Which basis of market segmentation is this?

✔ **Location**

**16** A dealer offers small, cheap-to-insure cars to drivers aged 17 to 21. Which basis of market segmentation is it using?

✔ **Age**

**17** A dealer sells only luxury cars that cost over £60,000. Which market segment is it mainly targeting?

✔ **Customers with high incomes**

**18** Why does a dealer split its market into segments?

✔ **To target each group with cars and adverts that suit it**

**19** A dealer runs a club for customers who enjoy off-road driving and camping. Which basis of market segmentation is this?

✔ **Lifestyle**